# TOWN OF KENSINGTON, MARYLAND

## Financial Statements, Supplemental Information and Independent Auditor's Reports

## For the Year Ended June 30, 2025

CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

**TOWN OF KENSINGTON, MARYLAND**
**Table of Contents**
**June 30, 2025**

CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

# INDEPENDENT AUDITOR'S REPORT

To the Mayor and Council of the
Town of Kensington, Maryland

## Report on the Audit of the Financial Statements

### *Opinions*

We have audited the accompanying financial statements of the governmental activities and each major fund of the Town of Kensington, Maryland, as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Town of Kensington, Maryland's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities and each major fund of the Town of Kensington, Maryland, as of June 30, 2025, and the respective changes in financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America.

### *Basis for Opinions*

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Town of Kensington, Maryland and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

### *Responsibilities of Management for the Financial Statements*

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Kensington, Maryland's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

201 Thomas Johnson Drive
Frederick, Maryland 21702-5166
301.662.9200
www.LSWG.cpa
1801 Research Boulevard, Suite 320
Rockville, Maryland 20850-3184

***Auditor's Responsibilities for the Audit of the Financial Statements***

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town of Kensington, Maryland's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Kensington, Maryland's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and the budgetary comparison schedule – general fund be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

**Other Reporting Required by *Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated October 23, 2025, on our consideration of the Town of Kensington, Maryland's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Town of Kensington, Maryland's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town of Kensington, Maryland's internal control over financial reporting and compliance.

*LSWG, P.A.*

Rockville, Maryland
October 23, 2025

# MANAGEMENT'S DISCUSSION AND ANALYSIS

Set forth below is an overview of the Town of Kensington, Maryland's (the Town) financial statements and analysis of the financial activities for the fiscal year ended June 30, 2025. We encourage readers to consider the following information.

## FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of the Town of Kensington, Maryland exceeded its liabilities and deferred inflows at the close of the fiscal year by $11,330,313 (net position). Of this amount, $7,240,599 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors.

- The Town of Kensington, Maryland's total net position increased by $2,635,356 for the fiscal year compared with an increase of $1,224,087 in the prior year.

- Revenues in the Statement of Program Activities increased by $1,543,284 (40%) when compared to the prior year. Expenses in the Statement of Program Activities increased by $132,015 (5%) when compared to the prior year.

- At the close of the fiscal year, the Town of Kensington, Maryland's Governmental Funds reported an ending fund balance of $7,588,119, an increase of $1,198,527 in comparison with the prior year. Of this fund balance, approximately 46%, $3,458,324, is classified as unassigned and available for spending at the government's discretion. Of the remaining $4,129,795 balance, $28,641 is designated as non-spendable and represents prepaid expenses; $1,048,098 is committed and under contracts for Bridge Reconstruction and Renovation, and Storm Drain Reconstruction and Renovation within the Capital Projects Fund; $3,053,056 is assigned for other projects within the Capital Projects Funds.

- In previous years, the Town received $2,295,528 from the American Rescue Plan Act (ARPA), which is included in deferred inflows until the related eligible expenditures are incurred. The Town used $112,923 between FY23 and FY24, and $1,210,021 of the ARPA funds this fiscal year to acquire the property located at 10528 St. Paul Street for the Town's future Public Works facility, along with hydrological engineering services for the Town's storm water management projects. The remaining ARPA funds of $972,584 are under contract and will be exhausted within FY26 to complete the remaining storm drain projects, which include the Carroll Place/Hadley Place storm drain bypass, St. Paul Street storm drain project, and the Armory Avenue/Baltimore Street storm drain project.

- In this fiscal year, the Town:
  1. Replaced two Condensing Units at the Kensington Town Hall.
  2. Executed a contract to purchase 10528 St. Paul Street, which will be the location for a new Public Works facility.

3. Finalized the bridge engineering report with Brudis & Associates, Inc. for the repairs of the Town's three (3) bridges.
4. Received a Community Parks and Playground State Grant, which expanded the playground options at St. Paul Park by adding ADA equipment and PIP surfacing.
5. Installed a new sidewalk along Howard Avenue, between Connecticut Avenue and Armory Avenue, and also paved Howard Avenue.

## OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis intends to serve as an introduction to the Town of Kensington, Maryland's basic financial statements. The Town of Kensington, Maryland's basic financial statements comprise of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the basic financial statements. This report also contains other required supplementary information in addition to the basic financial statements themselves.

### GOVERNMENT-WIDE FINANCIAL STATEMENTS

The government-wide financial statements are designed to provide readers with a broad overview of the Town of Kensington, Maryland's finances, in a manner similar to a private-sector business.

The Statement of Net Position presents information on all of the Town of Kensington, Maryland's (i) assets and deferred outflows and (ii) liabilities and deferred inflows, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the Town of Kensington is improving or deteriorating.

The Statement of Program Activities presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both of the government-wide financial statements of the Town of Kensington, Maryland are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the Town of Kensington, Maryland include General Government, Building and Zoning, Public Works, Public Safety, and Parks and Recreation. The government-wide financial statements report only on the Town of Kensington, Maryland.

### FUND FINANCIAL STATEMENTS

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Kensington, Maryland, like other local and state governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The Town of Kensington, Maryland currently has two governmental funds, the general fund and the capital projects fund.

**General Fund.** General funds are used to account for functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The Town of Kensington, Maryland maintains a general fund and a capital projects fund. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balance, which are both considered to be major funds.

The Town of Kensington, Maryland adopts an annual appropriated budget ordinance for its governmental general fund. A budgetary comparison statement has been provided for the general fund to demonstrate compliance with this budget.

**Capital Projects Fund.** The Town also has a capital projects fund to account for the non-lapsing capital improvement expenditures. Non-lapsing capital improvement expenditures include funds for infrastructure and capital assets in general government, building and zoning, parks and recreation, public safety, and public works. The Town adopts, as part of the budget ordinance, a capital projects fund.

**NOTES TO THE BASIC FINANCIAL STATEMENTS**

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

## <u>GOVERNMENT-WIDE FINANCIAL ANALYSIS</u>

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the Town of Kensington, Maryland, assets and deferred outflows exceeded liabilities and deferred inflows by $11,330,313 at the close of the most recent fiscal year as compared with $8,694,957 restated for accrued compensated absences for fiscal year 2024. Approximately 36% of the Town of Kensington, Maryland's net position reflects its investment in capital assets (e.g., land, buildings, machinery, and equipment). The Town of Kensington, Maryland uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending.

**Town of Kensington, Maryland's Net Position**

| | Governmental Activities |
|---|---|
| Current and other assets | $ 8,887,094 |
| Capital assets | 4,089,714 |
| Total assets | 12,976,808 |
| | |
| Other liabilities | 667,528 |
| Total liabilities | 667,528 |
| | |
| Deferred inflows | 978,967 |
| | |
| Invested in capital assets, net of related debt | $ 4,089,714 |
| Unrestricted | 7,240,599 |
| Total net position | $11,330,313 |

The unrestricted net position of $7,240,599 is used to meet the government's ongoing obligations to citizens and creditors.

**Governmental activities**. Governmental activities increased the Town of Kensington, Maryland's net position by $2,635,356.

**Town of Kensington, Maryland Changes in Net Position**

| | Governmental Activities |
|---|---|
| Revenues: | |
| Program revenues: | |
| Charges for services | $ 92,942 |
| Operating grants and contributions | 363,271 |
| Capital grants and contributions | 1,210,021 |
| | |
| General revenues: | |
| Taxes | 2,839,806 |
| Other | 867,944 |
| Total Revenues | 5,373,984 |
| Expenses: | |
| General government | 952,707 |
| Building and zoning | 186,296 |
| Public safety | 239,943 |
| Parks and recreation | 180,869 |
| Public works | 1,178,813 |
| Total Expenses | 2,738,628 |
| | |
| Increase in net position | 2,635,356 |
| Net position on July 1, 2024 | 8,694,957 |
| Net position on June 30, 2025 | $11,330,313 |

- Taxes of $2,839,806 comprised 53% of the total revenues received and Grants of $1,573,292 comprised 29% of the total revenues received which totaled $5,373,984 for the fiscal year. Most of this balance is the product of income and property taxes, along with the ARPA Grant funds. Taxes in the prior fiscal year were $2,725,886, representing 71% of total revenues, and Grants in the prior fiscal year were $265,446, representing 7% of total revenues in the prior fiscal year, which totaled $3,830,700.

## FUND FINANCIAL ANALYSIS

The Town of Kensington, Maryland uses fund accounting to ensure and demonstrate compliance with finance-related requirements.

**Governmental Funds**. The focus of the Town of Kensington, Maryland's governmental funds is to provide information on near term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the Town of Kensington, Maryland's financing requirements. In particular, the unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the Town of Kensington, Maryland's governmental funds reported ending fund balances of $7,588,119, an increase of $1,198,527 in comparison with the prior fiscal year. This increase is mostly attributable to the ARPA grant being partially expended and recognized as income.

Approximately 46% of this amount, $3,458,324, constitutes the unassigned fund balance, which is available for future spending at the government's discretion. The remainder of the funds, $4,129,795, have been reserved for prepaid expenses and capital projects. Assigned funds from the fund balance include $3,053,056 for capital improvement projects in the capital projects fund.

Committed fund balance includes $75,527 for the contract with Brudis & Associates, Inc., for Engineering, Design, and Management of the Bridge Repair project, $3,434 for the contract with Brudis & Associates, Inc., for the Storm Drain System Support Services, and $969,137 for the contracts with NZI for storm water improvements.

| | |
|---|---|
| Total Fund Balance at June 30, 2025 | $7,588,119 |
| Non-spendable for Prepaid Expenses | (28,641) |
| Committed for Capital Project Budget for Bridge Reconstruction & Renovation Program (Under contract) | (75,514) |
| Committed for Capital Project Budget for Storm Drain Reconstruction and Renovation Program (Under contract) | (972,584) |
| Assigned for Capital Projects Budget (Not under contract) | (3,053,056) |
| Unassigned Fund Balance* | $3,458,324 |

*The Unassigned Fund Balance does not include the remaining balance of $972,584 received from the ARPA grant, which is a deferred inflow until the expenses are incurred.

**General Fund Budgetary Highlights.** Generally, budget amendments fall into one of three categories: (1) amendments made to adjust the estimates that are used to prepare the original budget once exact information is available; (2) amendments made to recognize new funding amounts from external sources, such as County and State grants; and (3) increases in appropriations that become necessary to maintain services.

The Town of Kensington, Maryland did not make any budget amendments to the adopted budget during the fiscal year.

Revenues and other financing sources exceeded expenditures by $1,198,527 within the Governmental Funds at the end of the fiscal year.

Revenues were more than the budget forecast by $2,126,465 partially due to $1,210,021 of the ARPA funds being expended and recognized as income in this fiscal year; interest income of $392,778 is higher than anticipated along with the Town accepting the $100,000 monetary contribution from the Knowles Manor and Neighbors for an Improved Kensington Settlement Agreement; and a partial credit from Pepco towards the cost of operating streetlights within the Town.

Expenditures were less than the budget forecast by $755,977 within the General Fund at the end of the fiscal year. This is mostly attributable to the unfilled part-time administrative position that is funded each year in case of additional staffing needs; the fourth Secondary Employment position under our agreement with the Montgomery County Police remaining unfilled; along with reduced expenses related to tree maintenance and planting this year, and because the food waste collection program was delayed until FY26.

**General Fund Budget Highlights**

| | Adopted Budget | Actual |
|---|---|---|
| Revenues | | |
| Taxes – Local | $1,585,226 | $1,748,378 |
| Taxes – State Shared Revenues | 850,500 | 1,077,912 |
| Licenses & Permits | 45,700 | 61,268 |
| Intergovernmental Revenues | 449,626 | 455,161 |
| Fines and Forfeitures | 2,000 | 9,219 |
| Grants | - | 1,387,822 |
| Miscellaneous | 302,000 | 621,757 |
| Total Revenues | 3,235,052 | 5,361,517 |
| Expenditures | | |
| General Government | 1,480,357 | 1,121,821 |
| Public Works | 1,230,023 | 996,371 |

| | Adopted Budget | Actual |
|---|---|---|
| Public Safety | 331,670 | 224,973 |
| Parks and Recreation | 193,000 | 135,908 |
| Total Expenditures | 3,235,050 | 2,479,073 |
| Changes in fund balance | $ 2 | $2,882,444 |

**Capital Projects Fund Highlights**

For reference, the Town Charter was amended during the 2009-10 Fiscal Year to allow for non-lapsing capital project expenditures. Subsequently, $3,053,056 has been assigned from the fund balance for ongoing and future capital projects, which includes Facilities Capital Reserve; Property Acquisition; Town Hall Improvements; Town Parks and Playground Improvements; Street Light Replacement Program; Bridge Reconstruction and Renovation Program; Equipment and Vehicle Replacement Program; Pavement Management Program; Public Works Facility Improvements; and Storm Drain Reconstruction & Renovation Program; in addition, $1,048,098 has been committed for existing contracts within Bridge Reconstruction and Renovation; and Storm Drain Reconstruction and Renovation.

The Fiscal Year ending June 30, 2024, non-lapsing Capital Projects Fund assigned and committed fund balance was $5,785,071. In the current fiscal year $1,683,917 was expended for capital improvement projects. This resulted in a non-lapsing Capital Project Fund assigned and committed fund balance of $4,101,154 at the end of this fiscal year.

| | |
|---|---|
| Capital Project Fund June 30, 2024 | $5,785,071 |
| Transfers to Capital Project Fund | - |
| Capital Project Fund Expenditures | 1,683,917 |
| Capital Project Fund June 30, 2025 | $4,101,154 |

## CAPITAL ASSETS

The Town's capitalization policy is to capitalize fixed assets at a threshold of $5,000. At the end of the fiscal year, the Town governmental activities has invested $4,089,714 in a variety of capital assets and infrastructure, as reflected in the following schedule. These assets include land, land improvements, buildings and improvements, machinery, equipment, vehicles, and park and playground equipment. Total depreciation was $98,941.

Governmental Activities - Capital Assets

| | Governmental Activities |
|---|---|
| Non-Depreciable Assets | |
| Land | $ 264,353 |
| Land Improvements | 995,894 |

| | |
|---|---|
| Other Capital Assets | |
| Buildings & Improvements | 3,402,938 |
| Leasehold Improvements | 30,060 |
| Equipment | 887,595 |
| Infrastructure | 1,085,316 |
| Total Capital Assets | 6,666,156 |
| Accumulated Depreciation | (2,576,442) |
| Net Capital Assets | $ 4,089,714 |

## LONG-TERM DEBT

The long-term portion of accrued compensated absences of $246,076 represents the outstanding debt obligations of the Town.

## NEXT YEAR'S BUDGET HIGHLIGHTS

The Town adopted the Fiscal Year 2025-2026 Budget on May 7, 2025.

For Fiscal Year 2025-2026 the Real Property tax rate remained unchanged from the prior fiscal year at a rate of $0.1312 per one hundred dollars of assessed value; the Corporate and Personal Property tax rate remained unchanged from the prior fiscal year at a rate of $0.80 per one hundred dollars of assessed value; and the Public Utility tax rate remained unchanged from the prior fiscal year at a rate of $5.00 per one hundred dollars of assessed value.

The Mayor and Town Council appropriated $1,607,770 from the prior year's unassigned fund balance for spending within the Fiscal Year 2025-2026 budget. This appropriation adds $2,453,156 to the non-lapsing Capital Projects Fund to address several infrastructure needs within the upcoming fiscal year, to include:

1. Acquire 10415 Montgomery Avenue from M&T Bank to be used for public parking within the Historic Business District.
2. Acquire 10526 St. Paul Street, which is adjacent to the recently acquired 10528 St. Paul Street, for the Town's future Public Works facility.
3. Acquire a parcel of land west of Silver Creek from the Kensington Crossing Homeowners Association for open space and storm water mitigation.
4. Issue a construction RFP for the recommended improvements and repairs to the Town's three (3) bridges.
5. Proceed with storm water management improvements along the 10800 block of St. Paul Street, as recommended by the Town's hydrological engineer with Brudis & Associates.
    a. This project will also include the reconfiguration of the intersection of St. Paul Street and McComas Avenue, in coordination with MCDOT's Greenway proposal for McComas Avenue.

6. Proceed with storm water management improvements along the Carroll Place, Hadley Place, Washington Street corridor, as recommended by the Town's hydrological engineer with Brudis & Associates.
7. Proceed with storm water management improvements at the intersection of Armory Avenue and Baltimore Street, as recommended by the Town's hydrological engineer with Brudis & Associates.
8. Proceed with storm water management improvements along the 3500 and 3600 blocks of Farragut Avenue, as recommended by the Town's hydrological engineer with Brudis & Associates.
9. Issue a RFP for engineering and design for the future Public Works facility.
10. Continue with replacing the Town's Street name signs.
11. Continue to upgrade and improve the Town's infrastructure through ADA and sidewalk improvements.
12. Proceed with Town Hall Office Renovations.
13. Council approved an Ordinance that was upheld by a referendum to sell 3420 Plyers Mill Road.

## ECONOMIC FACTORS

The Town's revenues through both income and property taxes have remained strong over the last few years and we do not anticipate any short-term economic factors to impact the Town negatively over the next fiscal year.

## REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the Town of Kensington, Maryland's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Town Manager or Clerk/Treasurer of the Town of Kensington, Maryland, 3710 Mitchell Street, Kensington, Maryland, 20895.

**Exhibit A-1**

# Town of Kensington, Maryland
## Statement of Net Position
## June 30, 2025

| | Governmental Activities |
|---|---|
| **Assets** | |
| Cash and cash equivalents | $ 391,617 |
| Investments | 8,134,975 |
| Receivables, net | 27,576 |
| Due from other governments | 304,285 |
| Prepaid expenses | 28,641 |
| Capital assets, net | 4,089,714 |
| Total Assets | 12,976,808 |
| **Liabilities** | |
| Accounts payable | 250,912 |
| Builder deposits | 12,000 |
| Accrued salaries | 23,581 |
| Accrued compensated absences - current portion | 134,959 |
| Accrued compensated absences - net of current portion | 246,076 |
| Total Liabilities | 667,528 |
| **Deferred Inflows** | 978,967 |
| **Net Position** | |
| Invested in capital assets, net | 4,089,714 |
| Unrestricted | 7,240,599 |
| Total Net Position | $ 11,330,313 |

The accompanying notes are an integral part of this statement.

Exhibit A-2

**Town of Kensington, Maryland**
**Statement of Program Activities**
**For the Year Ended June 30, 2025**

| | Expenses | Program Revenue: Charges for Services | Program Revenue: Operating Grants and Contributions | Program Revenue: Capital Grants and Contributions | Net (Expenses) Revenue and Changes in Net Position: Governmental Activities | Total |
|---|---|---|---|---|---|---|
| **Functions/Programs** | | | | | | |
| Governmental Activities | | | | | | |
| General government | $ 952,707 | $ 13,800 | $ 10,214 | $ - | $ (928,693) | $ (928,693) |
| Building and zoning | 186,296 | 61,268 | - | - | (125,028) | (125,028) |
| Public works | 1,178,813 | - | 331,076 | 1,210,021 | 362,284 | 362,284 |
| Public safety | 239,943 | 9,219 | - | - | (230,724) | (230,724) |
| Parks and recreation | 180,869 | 8,655 | 21,981 | - | (150,233) | (150,233) |
| Total Governmental Activities | $ 2,738,628 | $ 92,942 | $ 363,271 | $ 1,210,021 | (1,072,394) | (1,072,394) |
| General Revenues | | | | | | |
| Property taxes | | | | | 1,761,894 | 1,761,894 |
| State shared taxes | | | | | 1,077,912 | 1,077,912 |
| Intergovernmental | | | | | 301,886 | 301,886 |
| Investment income | | | | | 392,778 | 392,778 |
| Miscellaneous | | | | | 173,280 | 173,280 |
| Total General Revenues | | | | | 3,707,750 | 3,707,750 |
| Changes in Net Position | | | | | 2,635,356 | 2,635,356 |
| Net Position, Beginning of Year - restated | | | | | 8,694,957 | 8,694,957 |
| Net Position, End of Year | | | | | $ 11,330,313 | $ 11,330,313 |

The accompanying notes are an integral part of this statement.

**Exhibit A-3**

**Town of Kensington, Maryland**
**Balance Sheet**
**Governmental Funds**
**June 30, 2025**

| **Assets** | **General Fund** | **Capital Projects Fund** | **Total Governmental Funds** |
|---|---|---|---|
| Cash and cash equivalents | $ 391,617 | $ - | $ 391,617 |
| Investments | 8,134,975 | - | 8,134,975 |
| Receivables, net | 27,576 | - | 27,576 |
| Due from other governments | 304,285 | - | 304,285 |
| Due from other funds | - | 4,101,154 | 4,101,154 |
| Prepaid expenses | 28,641 | - | 28,641 |
| **Total Assets** | 8,887,094 | 4,101,154 | 12,988,248 |
| **Deferred Outflows** | - | - | - |
| **Liabilities** | | | |
| Accounts payable | 250,912 | - | 250,912 |
| Builder deposits | 12,000 | - | 12,000 |
| Accrued salaries | 23,581 | - | 23,581 |
| Accrued compensated absences - current | 16,353 | - | 16,353 |
| Due to other funds | 4,101,154 | - | 4,101,154 |
| Total Liabilities | 4,404,000 | - | 4,404,000 |
| **Deferred Inflows** | 996,129 | - | 996,129 |
| **Fund Balance** | | | |
| Nonspendable | 28,641 | - | 28,641 |
| Committed | - | 1,048,098 | 1,048,098 |
| Assigned | - | 3,053,056 | 3,053,056 |
| Unassigned | 3,458,324 | - | 3,458,324 |
| Total Fund Balance | $ 3,486,965 | $ 4,101,154 | $ 7,588,119 |

**Reconciliation of Total Governmental Fund Balance To Net Position of the Governmental Activities**

| | |
|---|---|
| Total Governmental Fund Balance | $ 7,588,119 |
| Amounts reported for governmental activities in the statement of net position are different because: | |
| Property tax revenues in the Statement of Program Activities that do not provide current financial resources are not reported as revenues in the funds. | 17,162 |
| Capital assets used in governmental activities are not financial resources and therefore are not reported in the fund financial statements. | 4,089,714 |
| Compensated absences not requiring current financial resources and therefore not reported as expenditures in the fund financial statements. | (364,682) |
| Net Position of Governmental Activities | $ 11,330,313 |

The accompanying notes are an integral part of this statement.

Exhibit A-4

**Town of Kensington, Maryland**
**Statement of Revenues, Expenditures**
**and Changes in Fund Balances**
**Governmental Funds**
**For the Year Ended June 30, 2025**

| | General Fund | Capital Projects Fund | Total Governmental Funds |
|---|---|---|---|
| **Revenues** | | | |
| General property taxes | $ 1,748,378 | $ - | $ 1,748,378 |
| State shared taxes | 1,077,912 | - | 1,077,912 |
| Licenses and permits | 61,268 | - | 61,268 |
| Fines and forfeitures | 9,219 | - | 9,219 |
| Municipal events | 15,539 | - | 15,539 |
| Intergovernmental revenues | 455,161 | - | 455,161 |
| Miscellaneous | 213,440 | - | 213,440 |
| Grants | 1,387,822 | - | 1,387,822 |
| Net investment income | 392,778 | - | 392,778 |
| Total Revenues | 5,361,517 | - | 5,361,517 |
| **Expenditures** | | | |
| General government | 1,121,821 | 58,791 | 1,180,612 |
| Public works | 996,371 | 1,416,636 | 2,413,007 |
| Public safety | 224,973 | - | 224,973 |
| Parks and recreation | 135,908 | 208,490 | 344,398 |
| Total Expenditures | 2,479,073 | 1,683,917 | 4,162,990 |
| Changes in Fund Balance | 2,882,444 | (1,683,917) | 1,198,527 |
| **Fund Balance at Beginning of Year - restated** | 604,521 | 5,785,071 | 6,389,592 |
| **Fund Balance at End of Year** | $ 3,486,965 | $ 4,101,154 | $ 7,588,119 |

The accompanying notes are an integral part of this statement.

**Exhibit A-5**

**Town of Kensington, Maryland**
**Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Program Activities**
**For the Year Ended June 30, 2025**

| | |
|---|---|
| Net Change in Fund Balances - Total Governmental Funds | $ 1,198,527 |
| Amounts reported for governmental activities in the Statement of Program Activities are different because: | |
| Property tax revenues in the Statement of Program Activities that do not provide current financial resources are not reported as revenues in the funds. | 13,516 |
| Governmental funds report capital outlays as expenditures in the Statement of Program Activities for the cost of those assets in the period acquired, but expensed over the estimated useful lives as depreciation expense in the government-wide financial statements. Amount by which depreciation expense did exceed capital outlay expenditures. | 1,468,591 |
| Compensated absences in the Statement of Program Activities not requiring the use of current financial resources and therefore are not reported as expenditures in the governmental funds. | (45,278) |
| Net Changes in Net Position | $ 2,635,356 |

The accompanying notes are an integral part of this statement.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 1 - Summary of Significant Accounting Policies

### A. Financial Reporting Entity

The Town of Kensington (Town) was incorporated April 6, 1894 under the laws of the State of Maryland. The Town operates under a Mayor and Council-Manager form of government consisting of a Mayor, Town Council and a Town Manager. The Town provides the following services as authorized by its charter: streets, sanitation, building inspection and general administration services. The basic financial statements of the Town have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard setting body for established governmental and financial reporting principles. GASB Statement No. 34 includes the following components to the financial statements:

Management's Discussion and Analysis – A narrative introduction and analytical overview of the government's financial activities. This analysis is similar to analysis the private sector provides in their annual reports.

Government-Wide Financial Statements – The government-wide financial statements include the Statement of Net Position and the Statement of Program Activities. These statements report financial information for the Town as a whole.

Statement of Net Position – The Statement of Net Position displays the financial position of the Town. All assets, deferred outflows, liabilities and deferred inflows of resources associated with the operation of the Town are included on the Statement of Net Position. The net position of a government is broken into three categories –1) invested in capital assets, net of related debt; 2) restricted; and 3) unrestricted.

Statement of Program Activities – The Statement of Program Activities reports expenses and revenues in a format that focuses on the cost of each of the government's functions. The expense of individual functions is compared to the revenues generated directly by the function (for instance, through user charges or intergovernmental grants.)

Budgetary Comparison Schedules – Demonstrating compliance with the adopted budget is an important component of a government's accountability to the public. Many citizens participate in the process of establishing the annual operating budgets of state and local governments, and have a keen interest in following the actual financial progress of their governments over the course of the year. The Town and many other governments revise their original budgets over the course of the year for a variety of reasons.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 1 - Summary of Significant Accounting Policies (Continued)

### A. Financial Reporting Entity (Continued)

The financial statements were prepared in accordance with GASB Statement No. 14, *The Financial Reporting Entity*, which establishes standards for defining and reporting on the financial reporting entity. The definition of the financial reporting entity is based upon the concept that elected officials are accountable to their constituents for their actions. One of the objectives of financial reporting is to provide users of financial statements with the basis for assessing the accountability of the elected officials. The financial reporting entity consists of the Town of Kensington, Maryland. There are no organizations for which the Town is financially accountable and there are no component units of the Town.

### B. Government-Wide and Fund Financial Statements

The basic financial statements include both government-wide (based on the Town as a whole) and fund financial statements. The reporting model focus is on both the Town as a whole and the fund financial statements, including the major individual funds of the governmental and business-type categories, as well as the fiduciary fund. The government-wide financial statements (i.e., the Statement of Net Position and the Statement of Program Activities) report information on all of the non-fiduciary activities of the Town. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which primarily rely on fees and charges for support. The Town does not have any business-type activities or fiduciary activities at this time.

The Statement of Program Activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

### C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide statements are reported using the economic resources measurement focus, and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)**

Governmental fund financial statements are reported using the current resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting.

Property taxes, franchise fees, utility taxes, licenses and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The Town reports unearned revenues on its governmental funds balance sheet. Unearned revenues arise from taxes levied in the current year which are for subsequent years' operations. For governmental fund financial statements unearned revenues arise when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period. Unearned revenues also arise when resources are received before the Town has a legal claim to them, as when grant monies are received prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the Town has a legal claim to the resources, the deferred inflow for unearned revenue is removed from the balance sheet and revenue is recognized.

The Town reports the following major governmental funds:

The General Fund – This is the Town's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The Capital Projects Fund – The capital projects fund is used to account for financial resources and expenditures applied to the construction of capital facilities and major purchased items for all governmental fund types.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 1 - Summary of Significant Accounting Policies (Continued)

### D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position

1. Deposits and Investments

The Town's cash and cash equivalents are considered to be cash on hand, demand deposits and short-term investments with original maturities of three months or less from the date of acquisition, excluding investments in the Maryland Local Government Investment Pool and the Montgomery County Investment Pool.

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost.

2. Capital Assets

Capital assets, which include land, buildings and equipment, are reported in the governmental column in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than $5,000 and an estimated useful life in excess of three years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. General infrastructure assets acquired prior to July 1, 2004 are not reported in the basic financial statements. Total infrastructure for June 30, 2025 was $1,085,316. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Property, plant and equipment of the Town are depreciated using the straight-line method over the following estimated useful lives:

Infrastructure - 40 years
Buildings - 20 years
Improvements - 20 years
Office and other equipment - 5 to 15 years

3. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position (Continued)**

4. Compensated Absences

The annual leave policy of the Town provides for the accumulation of unearned annual leave to full-time employees based upon length of service, with a limit of two hundred and forty (240) hours per calendar year. Excess annual leave over and above 240 hours on the last day of the first full pay period in January will be automatically converted to sick leave. Upon termination of employment, an employee shall be paid for annual leave accumulated to the date of termination.

The Town’s sick leave policy provides for the accumulation of up to 120 hours of sick leave per year. Unused sick leave carries over at the end of the calendar year with no limit. Employees shall not be paid for accumulated unused sick leave at the time of termination of employment.

For the Town’s government-wide financial statements, an expenditure and a liability for compensated absences and salary-related payments are recorded as the leave is earned. The Town has assumed a first-in, first-out method of using accumulated compensated time. The portion of that time that is estimated to be used in the next fiscal year has been designated as a current liability in the government-wide financial statements.

For the Town’s general fund financial statements, those amounts estimated to be liquidated with expendable available financial resources are reported as an expenditure and a liability of the general fund.

5. Property Taxes

Property taxes for the current year were assessed by the State Department of Assessments and Taxation and collected by Montgomery County and subsequently remitted to the Town. Property taxes are assessed on July 1st and are due and payable according to applicable laws. All unpaid taxes levied July 1st become delinquent on October 1st and January 1st. The real property tax rates for the fiscal year ended June 30, 2025 was .1312 per $100 of assessed taxable value. The corporate and personal property tax rates for the Town for the fiscal year ended June 30, 2025 was .80 per $100 of assessed taxable value. The public utility tax rates for the Town for the fiscal year ended June 30, 2025 was 5.00 per $100 of assessed taxable value, respectively. Procedures for the collection of delinquent taxes by Montgomery County are provided for in the laws of Maryland.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 1 - Summary of Significant Accounting Policies (Continued)**

**D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position (Continued)**

6. Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America require management to make estimates that affect the amounts reported in the financial statements and accompanying notes. Accordingly, actual results could differ from those estimates.

7. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position includes a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The Town has no deferred outflows of resources for the years ended June 30, 2025.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources,* represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The Town currently recognizes unearned revenues (“unavailable” tax revenue received more than 60 days after year-end) as a deferred inflow. The Town’s deferred inflows of resources consist of grant funds received but not spent, property taxes and unearned income collected for the farmer’s market.

8. Net Position

Net position represents the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources on the government-wide financial statements. Net position is classified in the following categories:

*Net investment in capital assets* –This amount consists of capital assets net of accumulated depreciation and reduced by outstanding debt that is attributed to the acquisition, construction, or improvement of the assets.

*Restricted net position* – This amount is restricted by creditors, grantors, contributors, or laws or regulations of other governments.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 1 - Summary of Significant Accounting Policies (Continued)

### D. Assets, Deferred Outflows, Liabilities, Deferred Inflows and Net Position (Continued)

8. Net Position (continued)

*Unrestricted net position* – This amount is the net position that does not meet the definition of "net investment in capital assets" or "restricted net position".

9. Change in accounting principle

In fiscal year 2025, the Town adopted GASB Statement No. 100, *Accounting Changes and Error Corrections* – an amendment of GASB Statement No. 62, and GASB Statement No. 101, *Compensated Absences*. GASB Statement No. 100 established new guidance to enhance accounting and financial reporting requirements for accounting changes and error corrections. GASB Statement No. 101 established new guidance by updating the recognition and measurement for compensated absences by including salary-related payments that are directly and incrementally associated with leave liabilities. The Town restated the beginning balances to show the cumulative effect of including salary related payments for the prior years in the amount of $36,684. As a result of the implementation of GASB Statement No. 101, the Town recorded opening balance adjustments to increase liabilities and to decrease opening net position as follows:

| | Governmental Activities | General Fund |
|---|---|---|
| Opening net position, as originally presented | $ 8,948,117 | $ 608,961 |
| Change in accounting principal adjustment | (253,160) | (4,440) |
| Opening net position, as restated | $ 8,694,957 | $ 604,521 |

## Note 2 – Reconciliation of Government-Wide and Fund Financial Statements

A. Explanation of certain differences between the governmental fund balance and the government-wide statement of net position:

The governmental fund balance sheet includes reconciliation between fund balance – total government funds and net position – governmental activities as reported in the government-wide statement of net position.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 3 – Detailed Notes on All Funds

A. Deposits and Investments

Deposits

The deposits of the Town are governed by the Annotated Code of Maryland. State statutes authorized the Town to establish official depositories with any financial institution whose principal office is located in Maryland. State statutes require all deposits be insured by the Federal Deposit Insurance Corporation (FDIC) or fully collateralized. At June 30, 2025, the carrying amount of the Town's deposits totaled $391,617 and the bank balances totaled $407,597. Of the bank balances at June 30, 2025, $250,000 was covered by FDIC and the remaining balance was fully collateralized.

Investments – Maryland Local Government Investment Pool

The Town's investment policy allows investments in obligations of the United States government and federal government agencies and instrumentalities, repurchase agreements collateralized by the United States government obligations, fully insured or collateralized certificates of deposit, bankers' acceptances guaranteed by financial institutions, municipal securities, money market mutual funds registered with the U.S. Securities and Exchange Commission and any investment portfolio created under the Maryland Local Government Investment Pool.

The Town is a participant of the Maryland Local Government Investment Pool (MLGIP), which provides all local government units of the State a safe investment vehicle for the short-term investment of funds. The State Legislature created MLGIP with the passage of Article 95 22G, of the Annotated Code of Maryland. The MLGIP, under the administrative control of the State Treasurer, has been managed by a single Baltimore-based financial institution, PNC Bank. An MLGIP advisory committee of current participants was formed to review, on a quarterly basis, the activities of the Fund and to provide suggestions to enhance the pool. The MLGIP has an AAAm rating. The fair value of the pool is the same as the value of the pooled shares. At June 30, 2025, the Town had $7,590,966 invested in the Pool.

Investments – Montgomery County Maryland Investment Pool

The Town is a participant of the Montgomery County Maryland Investment Pool. These funds are part of collateralized investment pools. The Fund is managed by Montgomery County, Maryland, with oversight by the investment committee and in compliance with the Annotated Code of Maryland. The investment pool is comprised of commercial paper, the Maryland Local Government Investment Pool (MLGIP), and U.S. Government securities. The fair value of the pool is the same as the value of the pooled shares.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 3 – Detailed Notes on All Funds (continued)**

A. Deposits and Investments (continued)

Investment income during the year is allocated to pool participants based upon their average equity in the pool. At June 30, 2025, the Town had $544,009 invested in the pool.

Investment Custodial Credit Risk

For an investment, custodial credit risk is the risk that, in the event of failure of the counterparty, the Town will not be able to recover all or a portion of the value of its investments or collateral securities that are in the possession of an outside party. At June 30, 2025, all of the Town investments are insured or registered, or for which the securities are held by the Town or its agent in the Town's name or are invested in the MLGIP and Montgomery County Maryland Investment Pool.

B. Receivables

Receivables as of June 30, 2025 for the Town's individual major governmental funds, in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

| | |
|---|---|
| Receivables | |
| Property taxes | $ 22,397 |
| Other | 5,179 |
| Gross receivables | 27,576 |
| Less: allowance for uncollectible | - |
| Total Receivables - Net | $ 27,576 |

Governmental funds report unearned revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period.

C. Due From Other Governments

Due from other governments represents accrued revenue at June 30, 2025 consisting of the following:

Governmental Activities and Governmental Funds:

| | |
|---|---|
| Primary Government | |
| State - General fund | $ 284,452 |
| County - General fund | 19,833 |
| Total Primary Government | $ 304,285 |

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 3 – Detailed Notes on All Funds (Continued)**

D. Fund Balance

The Governmental Accounting Standards Board (GASB) issued Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions* (GASB 54). This Statement defines the different types of fund balances that a governmental entity must use for financial reporting purposes. GASB 54 requires the fund balance amounts to be properly reported within one of the fund balance categories listed below:

Nonspendable – such as fund balance associated with inventories, prepaid expenses, long-term loans and notes receivable and property held for resale.

Restricted fund balance – includes amounts that can be spent only for the specific purposes stipulated by constitution, external resource providers or by law through enabling legislation.

Committed fund balance – includes amounts that can be used only for the specific purposes determined by a formal action of the Mayor and Council of the Town of Kensington.

Assigned fund balance – includes amounts to be used by the government for specific purposes but do not meet the criteria to be classified as restricted or committed.

Unassigned fund balance – is the residual classification for the government's general fund and includes all spendable amounts not contained in the other classifications.

Nonspendable Fund Balance

The Town's nonspendable fund balance includes prepaid expenses of $28,641 for the year ended June 30, 2025.

Assigned Fund Balance

The Town's assigned fund balance includes the projected use of fund balance for operating and capital improvement projects deficit as approved in the subsequent years' budget, and includes the intended use for special projects encumbered by the Mayor and Town Council under the direction of the Town Manager.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 3 – Detailed Notes on All Funds (Continued)**

D. Fund Balance (continued)

The following schedule lists the assigned fund balances in the capital projects fund as of June 30:

| | |
|---|---|
| Equipment and vehicle replacement program | $ 170,169 |
| Pavement management program | 283,934 |
| Street light replacement program | 36,317 |
| Town hall improvements | 128,662 |
| Parks and playground improvements | (72,588) |
| Bridge reconstruction and renovation program | 291,437 |
| Storm drain reconstruction and renovation program | 1,280,870 |
| Public works facility improvements | 200,000 |
| Property acquisition | 434,255 |
| Capital reserve | 300,000 |
| Total Assigned Fund Balance | $ 3,053,056 |

Committed Fund Balance

The Town's committed fund balance in the capital projects fund includes bridge reconstruction and renovation program, and the storm drain reconstruction and renovation program for which a contract has been signed. For the year ended June 30, 2025 the committed fund balance was $1,048,098.

Order of Fund Balance Spending Policy

The Town's policy is to apply expenditures against non-spendable fund balance, restricted fund balance, committed fund balance, assigned fund balance, and unassigned fund balance at the end of the fiscal year.

First non-spendable fund balance is determined. Then restricted fund balances for specific purposes are determined, followed by committed fund balance and assigned fund balance. Unassigned fund balance cannot fall to a negative balance.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 3 – Detailed Notes on All Funds (Continued)

E. Capital Assets

Capital asset activity for the year ended June 30, 2025 was as follows:

| | June 30, 2024 | Increases | Decreases | Reclass | June 30, 2025 |
|---|---|---|---|---|---|
| Governmental Activities: | | | | | |
| Capital assets, not being depreciated | | | | | |
| Land | $ 274,353 | $ - | $ - | $ (10,000) | $ 264,353 |
| Land improvements | 995,894 | - | - | - | 995,894 |
| Total capital assets, not being depreciated | 1,270,247 | - | - | (10,000) | 1,260,247 |
| Capital assets, being depreciated | | | | | |
| Infrastructure | 919,817 | 165,499 | - | - | 1,085,316 |
| Buildings and improvements | 2,286,737 | 1,127,163 | (20,962) | 10,000 | 3,402,938 |
| Leasehold improvements | 30,060 | - | - | - | 30,060 |
| Equipment | 640,909 | 275,918 | (29,232) | - | 887,595 |
| Total capital assets, being depreciated | 3,877,523 | 1,568,580 | (50,194) | 10,000 | 5,405,909 |
| Less accumulated depreciation for: | | | | | |
| Infrastructure | (205,461) | (21,178) | - | - | (226,639) |
| Buildings and improvements | (1,827,170) | (43,837) | 19,913 | - | (1,851,094) |
| Leasehold improvements | (6,963) | (1,031) | - | (12,403) | (20,397) |
| Equipment | (487,052) | (32,895) | 29,232 | 12,403 | (478,312) |
| Total accumulated depreciation | (2,526,646) | (98,941) | 49,145 | - | (2,576,442) |
| Total capital assets, being depreciated, net | 1,350,877 | 1,469,639 | (1,049) | 10,000 | 2,829,467 |
| Governmental activities capital assets, net | $ 2,621,124 | $ 1,469,639 | $ (1,049) | $ - | $ 4,089,714 |

Depreciation expense was charged to function/programs of the primary government as follows:

| | |
|---|---|
| Governmental activities: | |
| General government | $ 5,510 |
| Building | 40,078 |
| Public works | 31,357 |
| Parks and recreation | 21,996 |
| Total depreciation expense, governmental activities | $ 98,941 |

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 3 – Detailed Notes on All Funds (Continued)

F. Long-Term Debt

Changes in accrued compensated absences:

| | Beginning Balances | Net Additions/ Deductions | Ending Balances | Amounts Due Within One Year |
|---|---|---|---|---|
| Compensated absences: | | | | |
| Annual leave | $ - | $ - | $ - | $ 93,947 |
| Sick leave | 220,113 | 25,963 | 246,076 | 41,012 |
| Total compensated absences | $ 220,113 | $ 25,963 | $ 246,076 | $ 134,959 |

## Note 4 – Commitment and Contingencies

Risk Management

The Town is exposed to various risks of loss related to torts, theft of or damage to and destruction of assets, errors and omissions, and natural disasters. The Town's general liability risks are financed through participation in the Local Government Insurance Trust which is a self-insurance pool.

This is a total risk and cost sharing pool for all participants. In the event that the Trust's General Fund falls into a deficit that cannot be satisfied by transfers from the Trust's capital and surplus accounts, the Trustees shall determine a method to fund the deficit. The Trust agreement empowers the Trustees to assess an additional premium to each deficit-year participant. Debt issues could also be used to fund a deficit.

Premiums are charged to the Town's General Fund, with no provisions made for claim liability in addition to premiums, unless an assessment is made by the Trust. There have been no assessments during the year ended June 30, 2025. The Town paid annual premiums of approximately $25,864. The amount of settlements have not exceeded coverage for each of the past three years.

License Agreement

In February 2010, the Town entered into a license agreement with Montgomery County Maryland to design and construct a surface parking lot on property owned by Konterra Limited Partnership. Konterra Limited Partnership has granted a permanent and perpetual easement to the County for the land containing the parking lot. In prior years the Town has received $446,600 to assist in funding construction, and the Town has funded the additional construction costs.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 4 – Commitment and Contingencies (Continued)**

The County has granted the Town the right to the exclusive use of the lot under the license agreement for ten years beginning February 11, 2010, with three additional ten-year option periods. If the Town is not notified of the County's intent to terminate the agreement, the agreement will automatically renew. The Town is currently in year five of option period one. The Town is obligated to pay a quarterly fee to the County consisting of a percentage of the gross revenues from parking lot operations after deducting maintenance expenses and the additional construction costs incurred by the Town.

Montgomery Municipal Cable

Effective November 20, 2003, the Town entered into an agreement with Montgomery Municipal Cable, Inc. (MMC) for the use of certain facilities at Town Hall. In exchange MMC agreed that all cable franchise fees received by the Town from the County (that otherwise would have been required to be remitted to MMC) could be retained by the Town. The agreement, originally expected to end in November 2020, was renewed and will continue until November 2030. The franchise fees collected pursuant to this agreement were $28,842 for the fiscal year ended June 30, 2025.

Easement Agreement

Effective August 9, 2019, the Town was granted an easement on property owned by Konterra Limited Partnership on Metropolitan Avenue in the Town. This easement was created in order to permit the Town to construct, install, operate, control and maintain within the easement area a dog park. The agreement shall remain in full force and effect for a minimum of three years from August 9, 2019. Thereafter either party may terminate the agreement by issuance of a ninety (90) day prior written notice to the other Party. The Town plans on continuing the agreement and no notice has been received from Konterra as of completion of this audit.

Copier Lease

On August 11, 2021, the Town entered into a copier lease. The lease payments are $314 per month and the lease expires August 31, 2026. Minimum lease payments for the next five years are as follows: Fiscal years - 2026 - $3,768, 2027 - $628, 2028 - $0, 2029 - $0, 2023 - $0.

**Note 5 - Retirement Plans**

Effective August 1, 2010, the Town has established a 401A money purchase retirement plan known as the Town of Kensington Retirement Plan to benefit employees by providing funds for retirement. All full time employees hired after January 1, 2009 are eligible to participate in the 401A money purchase plan as well as the eligible employees who were in the terminated defined benefit plan.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

## Note 5 - Retirement Plans (continued)

Effective August 1, 2010, the Town has established a 457 deferred compensation plan known as the Town of Kensington Deferred Compensation plan for its employees. This plan allows pretax deferrals from employees up to the maximum set by IRS regulations. Employees are fully vested in the pretax deferrals made to this plan.

The employer shall contribute 10% of employee compensation as long as the employee contributes 5% into the 457 deferred compensation plan. Employees are fully vested in employer contributions after five years of service. The contributions made for the fiscal year ending June 30, 2025 were $90,317.

## Note 6 – Grants

The Town receives financial assistance from federal, state and local governmental agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any unallowed disbursements resulting from such audits could become a liability of the Town. In the opinion of Town management, no material refunds will be required as a result of unallowed disbursements (if any), by the grantor agencies.

## Note 7 - Deferred Inflows

The American Rescue Plan Act (ARPA) was signed into Federal law in March of 2021, and established the Coronavirus State and Local Fiscal Recovery Funds (SLFRF) program. This program provides financial support to State and Local governments in responding to the economic and public health impacts of COVID-19 and in their efforts to contain impacts on their communities, residents, and businesses. These funds may be used to cover eligible program costs incurred during the period beginning on March 3, 2021 and ending on December 31, 2024, as long as the award funds incurred by December 31, 2024 are expended by December 31, 2026. Any funds not obligated or expended for eligible uses during this period must be returned to the U.S. Treasury.

The Town applied for and was awarded SLFRF funding passed through the State of Maryland in the amount of $2,295,528 of which $1,147,335 was received in August of 2021 with the second payment of $1,148,193 being received in August of 2022. Revenue recognition of these funds will be deferred until the related eligible expenditures are incurred.

Deferred inflows consist of the following on the Statement of Net Position as of June 30, 2025:

| | | |
|---|---|---|
| Grant funds received but not spent | $ | 972,584 |
| Unearned income from other sources | | 6,383 |
| Total Deferred Inflows | $ | 978,967 |

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Financial Statements**
**June 30, 2025**

**Note 7 - Deferred Inflows (continued)**

Deferred inflows consist of the following on the Balance Sheet – Governmental Funds as of June 30, 2025:

| | | |
|---|---|---|
| Grant funds received but not spent | $ | 972,584 |
| Unearned income from other sources | | 6,383 |
| Property taxes | | 17,162 |
| Total Deferred Inflows | $ | 996,129 |

**Note 8 – Subsequent Events**

Management has evaluated subsequent events through October 23, 2025, the date that the financial statements were available to be issued. There were no significant events to disclose.

# REQUIRED SUPPLEMENTARY INFORMATION

**Town of Kensington, Maryland**
**Required Supplementary Information**
**Budgetary Comparison Schedule**
**General Fund**
**For the Year Ended June 30, 2025**

| Revenues | Budgeted Amounts Original | Budgeted Amounts Final | Actual Amounts | Variance with Final Budget Positive (Negative) |
|---|---|---|---|---|
| **Taxes** | | | | |
| **Local** | | | | |
| Real property tax | $ 924,403 | $ 924,403 | $ 1,006,326 | $ 81,923 |
| Personal property tax - business | 136,576 | 136,576 | 166,309 | 29,733 |
| Personal property tax - utilities | 524,247 | 524,247 | 608,752 | 84,505 |
| Total Taxes - Local | 1,585,226 | 1,585,226 | 1,781,387 | 196,161 |
| Additions and abatements - prior years | - | - | (33,009) | (33,009) |
| Total Taxes - Local - Net | 1,585,226 | 1,585,226 | 1,748,378 | 163,152 |
| **State Shared** | | | | |
| Income taxes | 850,000 | 850,000 | 1,076,325 | 226,325 |
| Admissions and amusements tax | 500 | 500 | 1,587 | 1,087 |
| Total Taxes - State Shared | 850,500 | 850,500 | 1,077,912 | 227,412 |
| Total Taxes | 2,435,726 | 2,435,726 | 2,826,290 | 390,564 |
| **Licenses and Permits** | | | | |
| Town building and sign permits | 18,000 | 18,000 | 24,830 | 6,830 |
| Parking permits | 3,400 | 3,400 | 4,176 | 776 |
| Traders' licenses | 2,500 | 2,500 | 3,420 | 920 |
| Cable franchise fees | 21,800 | 21,800 | 28,842 | 7,042 |
| Total Licenses and Permits | 45,700 | 45,700 | 61,268 | 15,568 |
| **Intergovernmental Revenues** | | | | |
| County tax duplication | 297,875 | 297,875 | 297,660 | (215) |
| State highway user funds | 147,525 | 147,525 | 153,275 | 5,750 |
| Financial corporation - bank shares | 4,226 | 4,226 | 4,226 | - |
| Total Intergovernmental Revenues | $ 449,626 | $ 449,626 | $ 455,161 | $ 5,535 |

Continued

**Town of Kensington, Maryland**
**Required Supplementary Information**
**Budgetary Comparison Schedule**
**General Fund**
**For the Year Ended June 30, 2025**

| | Budgeted Amounts | | | Variance with Final Budget |
|---|---|---|---|---|
| | Original | Final | Actual Amounts | Positive (Negative) |
| **Grants** | | | | |
| Grant - ARPA | $ - | $ - | $ 1,210,021 | $ 1,210,021 |
| Grant - State of Maryland Open Space | - | - | 177,801 | 177,801 |
| Total Grants | - | - | 1,387,822 | 1,387,822 |
| **Fines and Forfeitures** | | | | |
| Parking and municipal infractions | 2,000 | 2,000 | 9,219 | 7,219 |
| Total Fines and Forfeitures | 2,000 | 2,000 | 9,219 | 7,219 |
| **Miscellaneous** | | | | |
| Town hall rentals | 15,000 | 15,000 | 13,800 | (1,200) |
| Park rentals | 2,500 | 2,500 | 3,330 | 830 |
| Miscellaneous revenues | 100,000 | 100,000 | 196,310 | 96,310 |
| Municipal events | 9,500 | 9,500 | 15,539 | 6,039 |
| Interest | 175,000 | 175,000 | 392,778 | 217,778 |
| Total Miscellaneous | 302,000 | 302,000 | 621,757 | 319,757 |
| Total Revenues | $ 3,235,052 | $ 3,235,052 | $ 5,361,517 | $ 2,126,465 |

Continued

**Town of Kensington, Maryland**
**Required Supplementary Information**
**Budgetary Comparison Schedule**
**General Fund**
**For the Year Ended June 30, 2025**

| Expenditures | Budgeted Amounts Original | Budgeted Amounts Final | Actual Amounts | Variance with Final Budget Positive (Negative) |
|---|---|---|---|---|
| **General Government** | | | | |
| Legislative and Executive | | | | |
| Mayor and council compensation | $ 24,000 | $ 24,000 | $ 21,000 | $ 3,000 |
| Mayor and council - other | 17,900 | 17,900 | 7,027 | 10,873 |
| Total Legislative and Executive | 41,900 | 41,900 | 28,027 | 13,873 |
| Financial Administration | | | | |
| Salaries and wages | 585,410 | 585,410 | 509,618 | 75,792 |
| Health, life and employee benefits | 64,233 | 64,233 | 63,157 | 1,076 |
| Payroll taxes | 43,835 | 43,835 | 39,323 | 4,512 |
| Employee retirement | 47,427 | 47,427 | 47,180 | 247 |
| Other professional services | 136,675 | 136,675 | 72,592 | 64,083 |
| Audit | 14,750 | 14,750 | 14,500 | 250 |
| Town attorney | 50,000 | 50,000 | 27,862 | 22,138 |
| Municipal dues, memberships and fees | 11,250 | 11,250 | 5,328 | 5,922 |
| Office expense | 34,800 | 34,800 | 29,588 | 5,212 |
| Insurance | 22,000 | 22,000 | 25,864 | (3,864) |
| Workers compensation insurance | 5,527 | 5,527 | 3,780 | 1,747 |
| Conferences, training and travel | 6,500 | 6,500 | 531 | 5,969 |
| Total Financial Administration | 1,022,407 | 1,022,407 | 839,323 | 183,084 |
| Municipal Building | | | | |
| Town Hall maintenance | 139,500 | 139,500 | 107,210 | 32,290 |
| Town Hall utilities | 45,700 | 45,700 | 34,603 | 11,097 |
| Town Hall equipment | 9,000 | 9,000 | 4,405 | 4,595 |
| Total Municipal Building | 194,200 | 194,200 | 146,218 | 47,982 |
| Other General Government | | | | |
| Office equipment/furniture | 2,500 | 2,500 | 1,995 | 505 |
| Economic development and commercial revitalization | 191,350 | 191,350 | 105,680 | 85,670 |
| Miscellaneous | 3,000 | 3,000 | 578 | 2,422 |
| Contingency | 25,000 | 25,000 | - | 25,000 |
| Total Other General Government | 221,850 | 221,850 | 108,253 | 113,597 |
| Total General Government Expenditures | $ 1,480,357 | $ 1,480,357 | $ 1,121,821 | $ 358,536 |

Continued

**Town of Kensington, Maryland**
**Required Supplementary Information**
**Budgetary Comparison Schedule**
**General Fund**
**For the Year Ended June 30, 2025**

| | Budgeted Amounts | | | Variance with Final Budget |
|---|---|---|---|---|
| | Original | Final | Actual Amounts | Positive (Negative) |
| **Public Safety** | | | | |
| Salaries and wages | $ 199,721 | $ 199,721 | $ 130,998 | $ 68,723 |
| Health, life and employee benefits | 12,935 | 12,935 | 12,433 | 502 |
| Payroll taxes | 15,029 | 15,029 | 10,172 | 4,857 |
| Employee retirement | 6,333 | 6,333 | 6,191 | 142 |
| Workers compensation insurance | 8,652 | 8,652 | 5,850 | 2,802 |
| Traffic control and engineering | 18,000 | 18,000 | 15,493 | 2,507 |
| Miscellaneous | 4,500 | 4,500 | 1,253 | 3,247 |
| Parking lot lighting (metropolitan) | 1,500 | 1,500 | 847 | 653 |
| Public street lighting | 65,000 | 65,000 | 41,736 | 23,264 |
| Total Public Safety | 331,670 | 331,670 | 224,973 | 106,697 |
| **Parks and Recreation** | | | | |
| Municipal events | 83,750 | 83,750 | 78,876 | 4,874 |
| Park supplies and professional services | 33,000 | 33,000 | 4,908 | 28,092 |
| Park utilities | 11,250 | 11,250 | 5,375 | 5,875 |
| Park landscaping | 65,000 | 65,000 | 46,749 | 18,251 |
| Total Parks and Recreation | $ 193,000 | $ 193,000 | $ 135,908 | $ 57,092 |

Continued

**Town of Kensington, Maryland**
**Required Supplementary Information**
**Budgetary Comparison Schedule**
**General Fund**
**For the Year Ended June 30, 2025**

| | Budgeted Amounts | | | Variance with Final Budget |
|---|---|---|---|---|
| | **Original** | **Final** | **Actual Amounts** | **Positive (Negative)** |
| **Public Works** | | | | |
| Salaries and wages | $ 420,366 | $ 420,366 | $ 385,269 | $ 35,097 |
| Health, life and employee benefits | 103,853 | 103,853 | 98,831 | 5,022 |
| Payroll taxes | 30,909 | 30,909 | 29,838 | 1,071 |
| Workers compensation insurance | 20,802 | 20,802 | 14,260 | 6,542 |
| Employee retirement | 37,393 | 37,393 | 36,945 | 448 |
| Drug testing | 1,000 | 1,000 | - | 1,000 |
| Landscaping vegetation management | 25,000 | 25,000 | 16,413 | 8,587 |
| Landscaping street trees maintenance and planting | 125,000 | 125,000 | 59,310 | 65,690 |
| Storm drain maintenance | 15,000 | 15,000 | 4,510 | 10,490 |
| Sidewalk repair | 15,000 | 15,000 | 22,337 | (7,337) |
| Street maintenance | 20,000 | 20,000 | 20,329 | (329) |
| Street name signs | 20,000 | 20,000 | 14,562 | 5,438 |
| Street sweeping | 12,000 | 12,000 | 5,250 | 6,750 |
| Snow removal | 8,500 | 8,500 | 10,304 | (1,804) |
| Small equipment purchases | 12,500 | 12,500 | 4,953 | 7,547 |
| Vehicle fuel expenses | 13,500 | 13,500 | 8,255 | 5,245 |
| Shop supplies and tools | 4,000 | 4,000 | 3,590 | 410 |
| Uniforms, gloves, vests, boots and shirts | 3,500 | 3,500 | 2,199 | 1,301 |
| Miscellaneous | 1,000 | 1,000 | 267 | 733 |
| Conferences, training and travel | 500 | 500 | 369 | 131 |
| Small equipment maintenance and repairs | 3,500 | 3,500 | 678 | 2,822 |
| Garage maintenance, miscellaneous and utilities | 10,200 | 10,200 | 4,778 | 5,422 |
| Vehicle repairs | 20,000 | 20,000 | 16,975 | 3,025 |
| Trash, brush and recycling collection | 279,500 | 279,500 | 222,220 | 57,280 |
| Leaf collection and other disposal fees | 27,000 | 27,000 | 13,929 | 13,071 |
| Total Public Works | 1,230,023 | 1,230,023 | 996,371 | 233,652 |
| Total Expenditures | $ 3,235,050 | $ 3,235,050 | $ 2,479,073 | $ 755,977 |

The accompanying notes are an integral part of this schedule.

**TOWN OF KENSINGTON, MARYLAND**
**Notes to Required Supplementary Information**
**June 30, 2025**

## Note 1 – Summary of Significant Budget Policies

The Town Council annually adopts a budget for the General Fund of the primary government. All appropriations are legally controlled at the departmental level for the General Fund. On May 8, 2024, the Town Council approved the original adopted budget. There were no budget amendments in fiscal year 2025.

The budgets are integrated into the accounting system, and the budgetary data, as presented in the financial statements for all funds with annual budgets, compare the expenditures with the amended budgets. All budgets are presented on the modified accrual basis of accounting. Accordingly, the accompanying Budgetary Comparison Schedule for the General Fund presents actual expenditures in accordance with the accounting principles generally accepted in the United States on a basis consistent with the legally adopted budgets as amended. Unexpended appropriations on the annual budget lapse at the end of each fiscal year.

## Note 2 – Material Violations

There were no material violations of the general fund annual appropriated budget for the fiscal year ended June 30, 2025. In addition, there were no excesses of budgetary expenditures for that period.

CERTIFIED PUBLIC ACCOUNTANTS
& BUSINESS ADVISORS

**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

To the Mayor and Council of the
Town of Kensington, Maryland

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities and each major fund of the Town of Kensington, Maryland, as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Town of Kensington, Maryland's basic financial statements, and have issued our report thereon dated October 23, 2025.

**Report on Internal Control over Financial Reporting**

In planning and performing our audit of the financial statements, we considered the Town of Kensington, Maryland's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town of Kensington, Maryland's internal control. Accordingly, we do not express an opinion on the effectiveness of the Town of Kensington, Maryland's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements, on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

201 Thomas Johnson Drive
Frederick, Maryland 21702-5166

301.662.9200
www.LSWG.cpa

1801 Research Boulevard, Suite 320
Rockville, Maryland 20850-3184

## Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town of Kensington, Maryland's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with

those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

## Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

*LSWG, P.A.*

Rockville, Maryland
October 23, 2025